Dollar holds near US70c as export prices move in different directions

> The Australian dollar finished the week just above US70 cents. Iron ore and gold weakened, nickel jumped, and oil, which Australia mostly imports, reached a five-month high.

WHAT HAPPENED

- The AUD eased 0.1% to about **US70.08c** on Friday. Analysts see support near US68.95c and resistance near US70.40c.
- Iron ore slipped 0.7% to **US$90.73/t**. Gold fell to a three-month low near US$4,003/oz as markets expected higher interest rates.
- Nickel rose 2.9% to US$16,234/t on reports that Chinese-backed producers in Indonesia may cut output by up to 50%.
- The ASX materials sector fell 3.7%. Australia's 10-year bond yield fell about 0.1 points to 5.164%.

BY THE NUMBERS

US70.08c
AUD at Friday's close

US$90.73/t
iron ore, down 0.7%

~US$4,003
gold per ounce, a three-month low

US$113–114
Brent crude, a key import price

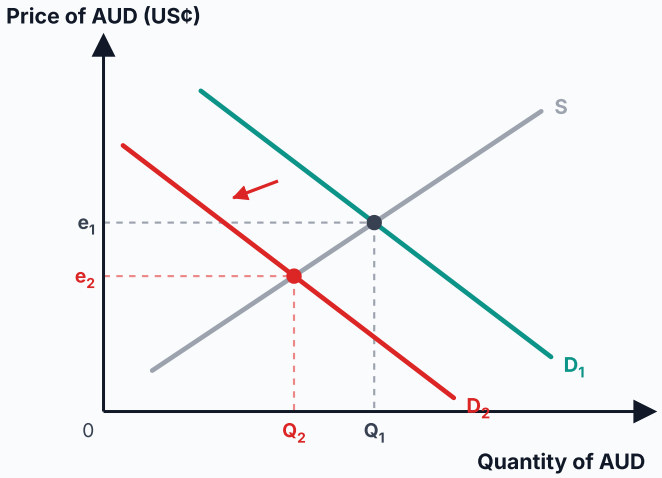
KEY TERMS

Terms of trade: an index of export prices divided by import prices.

Commodity currency: a currency whose value tends to move with commodity export prices.

Depreciation: a fall in the value of a floating currency.

DIAGRAM — Weaker export prices reduce demand for the AUD



Foreign buyers need AUD to pay for Australian exports. When iron ore and gold prices fall, export receipts fall, and **demand for AUD shifts from D_1 to D_2**.

The exchange rate falls from **e_1 to e_2**. Expensive oil imports also raise demand for US dollars, which adds to the downward pressure.

Exam angle: a lower AUD acts as a **shock absorber**. It raises the AUD value of exports, which cushions miners, but it makes imported fuel even dearer.

FLOW CHART — Commodity prices, the terms of trade and the dollar

Iron ore and gold prices fall → Export prices fall, oil import prices rise → Terms of trade decline → Less demand for the AUD → **Downward pressure on the AUD**

SYLLABUS LINK

TOPIC 2: terms of trade, commodity prices and how the exchange rate is determined.

TRY THIS

Explain the relationship between commodity prices, the terms of trade and the value of the Australian dollar. **(4 MARKS)**

Articles: ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/107291840